Dolph

COMPARATIVE ANALYSIS

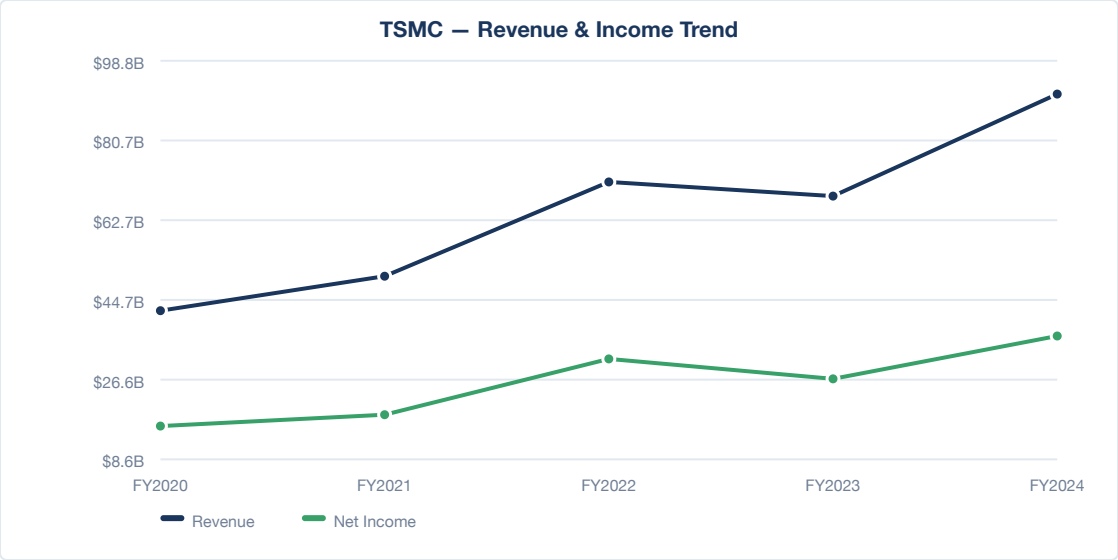
TSMC, ASML

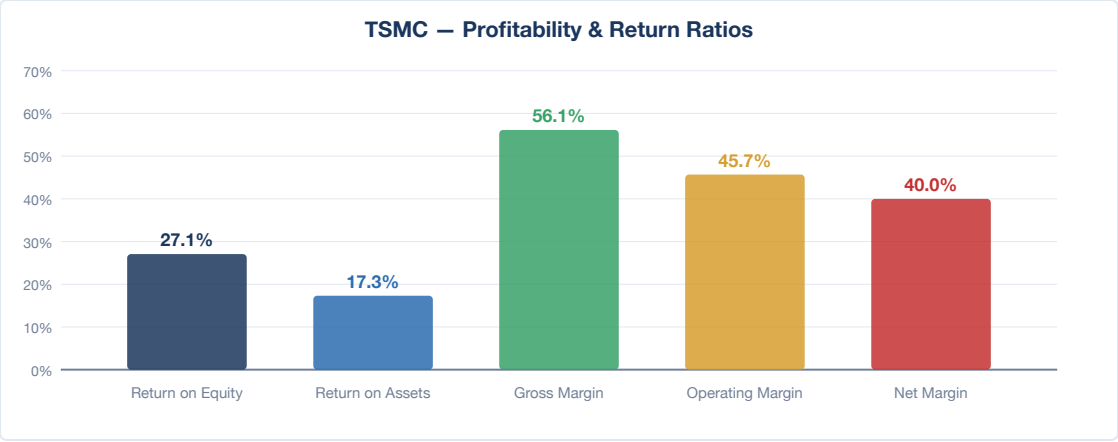
March 4, 2026

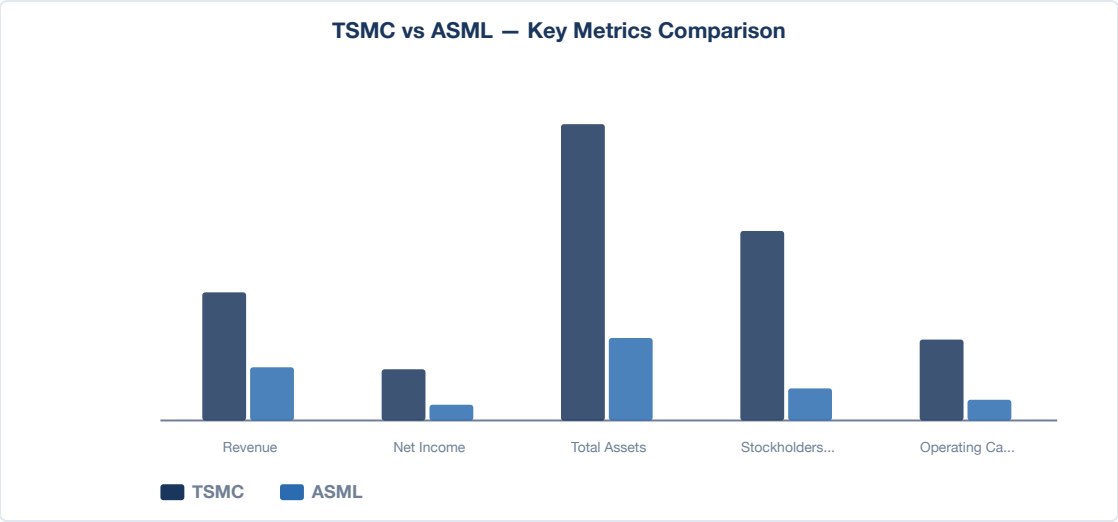
Executive Summary

TSMC's revenue of $91.3 billion surpasses ASML's $37.9 billion by a factor of approximately 2.4, with net income of $36.5 billion compared to ASML's $11.2 billion, indicating a significantly larger scale. TSMC also holds a total asset base of $211.0 billion and stockholders' equity of $134.9 billion, both substantially higher than ASML's $58.7 billion and $22.8 billion, respectively. While TSMC's gross margin of 56.1% exceeds ASML's 52.8%, ASML demonstrates a higher return on equity at 49.0% versus TSMC's 27.1%, reflecting differing efficiencies in capital utilization. Overall, TSMC's larger revenue and asset base contrast with ASML's higher profitability ratios, illustrating distinct strengths in scale versus return metrics.

Visual Analysis







Key Metrics Comparison

METRIC	TSMC	ASML
Debt-to-Equity	0.56x	1.58x
Return on Equity	27.1%	49.0%
Return on Assets	17.3%	19.0%
Current Ratio	2.36x	1.26x
Quick Ratio	2.14x	0.79x
Gross Margin	56.1%	52.8%
Operating Margin	45.7%	34.6%
Net Margin	40.0%	29.4%
Earnings Per Share (Diluted)	1.41x	28.70x
Book Value Per Share	5.20x	59.10x
Free Cash Flow	27438107351.14x	12875225913.76x
Revenue	$91.3B	$37.9B
Net Income	$36.5B	$11.2B
Operating Income	$41.7B	$13.1B
Gross Profit	$51.2B	$20.0B
Total Assets	$211.0B	$58.7B
Total Liabilities	$76.1B	$36.0B
Stockholders' Equity	$134.9B	$22.8B
Operating Cash Flow	$57.6B	$14.7B
Capital Expenditures	$30.1B	$1.8B

COMPARISON METRIC	TSMC	ASML
revenue	$91.3B	$37.9B
net_income	$36.5B	$11.2B
total_assets	$211.0B	$58.7B
stockholders_equity	$134.9B	$22.8B
operating_cash_flow	$57.6B	$14.7B
gross_profit	$51.2B	$20.0B
operating_income	$41.7B	$13.1B

Relative Strengths

- TSMC's gross margin of 56.1% results in a gross profit of $51.2 billion, reflecting strong pricing power and cost management, supported by a revenue of $91.3 billion which has grown at a 21.3% CAGR over recent years.
- The company's return on equity of 27.1% and net income of $36.5 billion demonstrate efficient utilization of shareholder capital, with a high return on assets of 17.3% indicating effective asset deployment.
- TSMC maintains robust liquidity with a current ratio of 2.36x and a quick ratio of 2.14x, providing a solid financial cushion to support ongoing operations and capital expenditures of $30.1 billion, which is only marginally higher than the previous year's growth rate of 0.7%.

ASML Holding NV

- ASML's gross margin of 52.8% yields a gross profit of $20.0 billion on revenue of $37.9 billion, with revenue increasing at a 15.1% CAGR, indicating sustained pricing power and market demand for its advanced lithography equipment.
- The company exhibits a high return on equity of 49.0% and net income of $11.2 billion, reflecting highly efficient capital use and strong profitability relative to its $22.8 billion in stockholders' equity.
- Despite a lower current ratio of 1.26x and quick ratio of 0.79x, ASML maintains a disciplined capital expenditure of $1.8 billion, which decreased by 23.9% YoY, supporting cash flow generation of $14.7 billion and enabling continued investment without over-leverage.

Risk Comparison

TSMC exhibits a comparatively lower financial leverage, with a debt-to-equity ratio of 0.56x, indicating a conservative approach to debt financing and a lower financial risk profile. In contrast, ASML's debt-to-equity ratio of 1.58x suggests a higher reliance on leverage, which may amplify financial risk under adverse conditions. Additionally, TSMC's current ratio of 2.36x and quick ratio of 2.14x reflect a robust liquidity position, providing ample short-term financial flexibility. Conversely, ASML's current ratio of 1.26x and quick ratio of 0.79x imply a more constrained liquidity buffer, potentially increasing vulnerability to liquidity pressures.

Profitability margins further delineate risk profiles, with TSMC maintaining higher margins across key metrics: gross margin at 56.1%, operating margin at 45.7%, and net margin at 40.0%. These margins suggest strong pricing power and operational efficiency, which can mitigate financial risks associated with market volatility. ASML's margins are comparatively lower, with gross margin at 52.8%, operating margin at 34.6%, and net margin at 29.4%, indicating narrower buffers against downturns. Furthermore, TSMC's consistent revenue growth at a 21.3% CAGR and net income growth of 22.7% over recent years reinforce its resilient earnings capacity, whereas ASML's growth rates, though positive, are somewhat lower at 15.1% for revenue and 13.1% for net income, potentially indicating a more moderate capacity to absorb financial shocks. Overall, TSMC's stronger liquidity ratios, lower leverage, and higher margins suggest a comparatively lower financial risk profile relative to ASML.

Financial Statements

TSMC

Income Statement

METRIC	FY2024	FY2023	FY2022
Revenue	$91.3B	$68.2B	$71.4B
Cost of Revenue	$40.0B	$31.1B	$28.9B
Gross Profit	$51.2B	$37.1B	$42.5B
Operating Income	$41.7B	$29.1B	$35.4B
Net Income	$36.5B	$26.8B	$31.3B
EPS (Basic)	$1	$1	$1
EPS (Diluted)	$1	$1	$1
Shares Outstanding	$25.9B	$25.9B	$25.9B
R&D Expenses	$6.4B	$5.8B	$5.1B

Balance Sheet

METRIC	FY2024	FY2023	FY2022
Total Assets	$211.0B	$174.4B	$156.5B
Total Liabilities	$76.1B	$65.5B	$64.5B
Stockholders' Equity	$134.9B	$108.9B	$92.0B
Current Assets	$97.4B	$69.2B	$64.7B
Current Liabilities	$41.3B	$29.7B	$31.1B
Cash & Equivalents	$67.1B	$46.2B	$42.3B
Inventory	$9.1B	$7.9B	$7.0B
Accounts Receivable	$8.5B	$6.3B	$7.2B

Cash Flow Statement

METRIC	FY2024	FY2023	FY2022
Operating Cash Flow	$57.6B	$39.2B	$50.8B
Capital Expenditures	$30.1B	$29.9B	$34.1B
Investing Cash Flow	-$27.3B	-$28.6B	-$37.6B
Financing Cash Flow	-$10.9B	-$6.5B	-$6.3B
Dividends Paid	$11.4B	$9.2B	$9.0B

Note: 1 USD = 31.71 TWD. All values converted to USD.

ASML

Income Statement

METRIC	FY2025	FY2024	FY2023
Revenue	$37.9B	$32.8B	$32.0B
Cost of Revenue	$17.9B	$16.0B	$15.6B
Gross Profit	$20.0B	$16.8B	$16.4B
Operating Income	$13.1B	$10.5B	$10.5B
Net Income	$11.2B	$8.8B	$9.1B
EPS (Basic)	$29	$22	$23
EPS (Diluted)	$29	$22	$23
Shares Outstanding	$385.4M	$393.3M	$393.4M
R&D Expenses	$5.5B	$5.0B	$4.6B
SG&A Expenses	$1.5B	$1.4B	$1.3B

Balance Sheet

METRIC	FY2025	FY2024	FY2023
Total Assets	$58.7B	$56.4B	$46.4B
Total Liabilities	$36.0B	$35.0B	$30.8B
Stockholders' Equity	$22.8B	$21.5B	$15.6B
Current Assets	$35.6B	$35.7B	$28.3B
Current Liabilities	$28.2B	$23.3B	$18.9B
Cash & Equivalents	$15.0B	$14.8B	$8.1B
Short-Term Debt	$2.0B	$1.2B	$116K
Inventory	$13.3B	$12.7B	$10.3B
Accounts Receivable	$3.5B	$5.2B	$5.0B
Goodwill	$5.3B	$5.3B	$5.3B

Cash Flow Statement

METRIC	FY2025	FY2024	FY2023
Operating Cash Flow	$14.7B	$13.0B	$6.3B
Capital Expenditures	$1.8B	$2.4B	$2.5B
Investing Cash Flow	-$4.4B	-$3.0B	-$3.1B
Financing Cash Flow	-$10.1B	-$3.3B	-$3.5B
Share Repurchases	$6.9B	$580.8M	$1.2B

Note: 1 USD = 0.86 EUR. All values converted to USD.

Analyst Notes

Taiwan Semiconductor Manufacturing Company Limited (TSMC) exhibits a significantly larger scale than ASML Holding NV, with revenue of $91.3 billion compared to ASML's $37.9 billion, and total assets of $211.0 billion versus $58.7 billion. TSMC's net income of $36.5 billion surpasses ASML's $11.2 billion, reflecting its dominant position in the semiconductor manufacturing industry. The company's gross margin of 56.1% and operating margin of 45.7% indicate a robust ability to command pricing power and maintain operational efficiency,

supported by a return on equity of 27.1%. In comparison, ASML's gross margin of 52.8% and return on equity of 49.0% suggest high profitability relative to its size, although its margins are slightly lower than TSMC's. Both companies demonstrate strong cash flow generation, with TSMC's operating cash flow at $57.6 billion and ASML's at $14.7 billion, but TSMC's scale and revenue growth (CAGR of 21.3%) highlight its leading market position.

Despite their strengths, the companies differ in financial leverage and liquidity profiles. TSMC's debt-to-equity ratio of 0.56x indicates conservative leverage, while ASML's ratio of 1.58x suggests a higher reliance on debt financing. TSMC's current ratio of 2.36x and quick ratio of 2.14x point to strong liquidity, whereas ASML's ratios of 1.26x and 0.79x, respectively, imply comparatively tighter liquidity conditions. The disparity in capital expenditures, with TSMC investing $30.1 billion (CAGR of 17.2%) and ASML only $1.8 billion (CAGR of 15.0%), reflects differing growth strategies and capital intensity. An analyst should investigate the sustainability of ASML's high return on equity, especially given its higher leverage, and assess the potential impact of industry cyclicality on both firms. Additionally, examining the technological positioning and future growth prospects in advanced process nodes for TSMC and lithography equipment for ASML could provide deeper insights into their long-term competitive advantages.

Data Sources

- TSMC 6-K (2026-03-02)
- TSMC 6-K (2026-02-26)
- TSMC 6-K (2026-02-25)
- ASML 20-F (2026-02-25)

All data sourced from SEC EDGAR. This analysis is generated from public SEC filings and is not financial advice.

Data sourced exclusively from SEC EDGAR public filings.
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LLM calls: 4 | Data points: 102 | Generated in 16.9s